which the major part was from Government stocks, prior to receipt of the metal from the US on lend-lease. At the close of the war, India's share of the loan of 226 million ounces was determined as 172.5 million ounces, the balance being the liability of Pakistan. The government repaid the loan in 1957: 50.3 million ounces in the form of bullion and 122.2 million ounces in the form of quaternary coins.[18]

Exchange Control

One of the more immediate organizational problems faced by the bank on the outbreak of the war was creating the appropriate machinery to exercise exchange control. Preliminary arrangements for the introduction of exchange control had been made well before the outbreak of the war with the necessary notices and circulars being prepared by the Secretary's Department of the bank under the immediate supervision of the Governor, but were kept secret. It was soon realized, however, that this work would require the creation of a special department and a few days after the war started the Exchange Control Department was formally established. The Governor's first port of call for this job was the Secretary, P.S. Beale, but the Bank of England's request for Beale's return coincided with the opening of the new Department. It was imperative to find a competent person to be in charge of the Department and H.D. Cayley, who was working with the National Bank of India at Calcutta, was ultimately selected for this job.

The headquarters of the Exchange Control Department were located in the Central Office of the bank in Bombay under the immediate charge of Cayley who was designated Deputy Controller, the Governor being ex-officio Controller. In Calcutta, on account of the volume of work, a separate branch of the Department was formed under the charge of an Assistant Controller; at Bombay, all the regional exchange control work was handled by a section of the Exchange Control Department under a separate Assistant Controller. At the other centres, the managers were appointed ex-officio Assistant Controllers and looked after all exchange control work in their areas.[19]

Exchange control was considered necessary in India not on grounds of shortage of foreign exchange in general but for conserving non-sterling area currencies, especially the US dollar. The scheme formulated for India was